

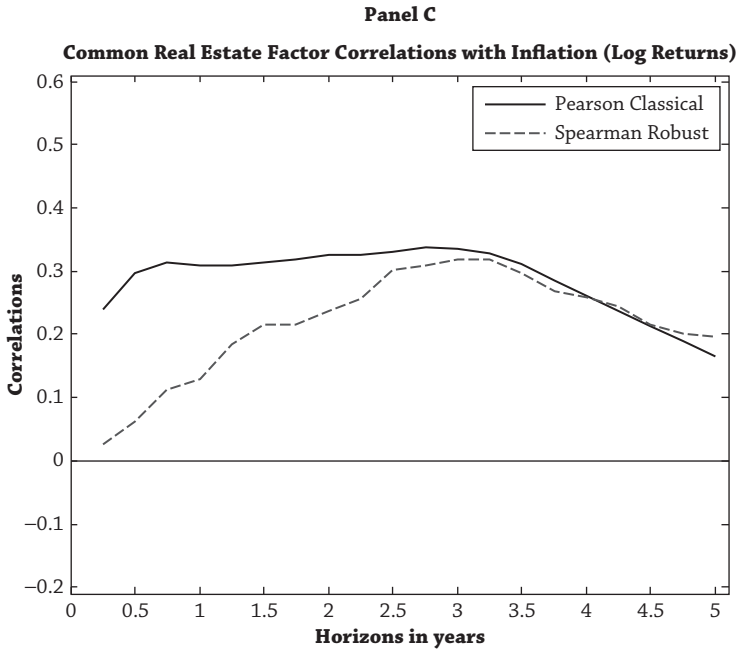


Figure 11.13 (continued)

in Ang, Nabar, and Wald (2013), where I extract common movements in real estate returns from REITs and two direct real estate indices based on the NCREIF database (one is an appraisal-based property index and one is a transaction-based index). All the indices are adjusted to have the same sector composition and leverage (delivered REIT returns). The goal is to capture joint movements in an overall real estate cycle while allowing specific real estate sectors freedom to move up and down relative to that overall cycle. Panel C, not surprisingly, shows that the correlation of the real estate cycle with inflation is between the NCREIF and REIT correlations in Panels A and B. The robust correlations are close to zero at short horizons. They peak around 0.3 at the three-year horizon and end at 0.2 at the five-year horizon.

In summary, real estate is not that real. It provides some inflation protection at long horizons but not at short horizons.

7. How Real Is Real Estate? Redux

I've shown that real estate is partly, but far from completely, real.

Carole has several considerations in writing her report in addition to just the inflation-hedging ability of direct real estate. In particular,